



CASH FLOW FOR SMALL BUSINESSES

Narrated by Mika

A MonkeyMoney Collection



CHAPTER 1

The Day I Earned a Lot and Had No Cash at All

My name is Mika. I run a coffee and fresh juice cart that I set up every morning outside an office building, and a few months ago I had the best month my business had ever seen: more sales than ever, new customers, even a weekly supply contract with an entire office.

And yet, that very same month, I didn't have enough to pay my coffee bean supplier on time.

It wasn't because I overspent, or because the business was bad. It was because almost all of my new sales came through a payment app that deposits my money 15 days later, and the office contract paid me on 30-day terms. Meanwhile, I had to pay for coffee, cups, and my helper every single week, in cash, without waiting on anyone.

I earned more money than ever, on paper. And still, I had to borrow from my mom to pay my supplier that week.

That's when I understood something nobody had explained to me when I started my business: you can be making money and going under at the same time. Not from a lack of customers. From a lack of **cash**.

This book is everything I learned after that scare. I'm not going to tell it to you like an accounting class. I'm going to tell it to you the way I lived it: with mistakes, with sleepless nights staring at numbers, and with a system that today lets me sleep easy.



CHAPTER 2

Profit vs. Cash: My Most Expensive Confusion

The first thing I had to understand — and the thing that cost me the most to learn — is that **profit** and **cash** are not the same thing.

Profit is what's left on paper once you subtract your costs from your sales. If I sold 3,000,000 pesos worth of coffee and juice, and my costs were 2,000,000, my profit is 1,000,000. That looks perfect on any spreadsheet.

But cash is something else: it's the money I actually have available, today, in my account or in my pocket, to pay whatever is due today.

I can have a huge profit on paper and zero pesos in cash, if that profit is still “trapped” in payments my customers owe me but haven't made yet. And the reverse can also happen: having plenty of cash available one month without that meaning the business is truly profitable.

Ever since I understood this, I stopped looking only at “how much did I sell” and started asking myself, every week: how much of that is actually sitting in my account right now?

CHAPTER 3

The Three Pipelines of My Cash Flow



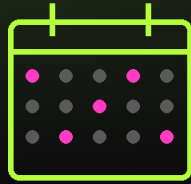
Over time I learned to think of my cash flow as three separate pipelines, each with its own water flowing in and out.

The first is the **operating** pipeline: the cash that flows in and out of the day-to-day business. Selling coffee, paying my supplier, paying my helper, paying the cart's permit. It's the pipeline that moves the most, and the one that needs the closest watch.

The second is the **investing** pipeline: the money that goes out (or comes in) when I buy something meant to last, like a new espresso machine, or when I sell old equipment I no longer use.

The third is the **financing** pipeline: the money that comes in when I take out a loan or someone invests in my business, and the money that goes out when I repay those debts or return profits to a partner.

Before, I looked at all my money as one mixed-up bag. Separating these three pipelines helped me see exactly where every peso came from and where it went — and to notice, for example, that my problem that month wasn't operational at all: it was purely a timing issue.



CHAPTER 4

The Calendar Nobody Ever Taught Me to Read

The problem that month wasn't that I earned too little. It was the **calendar**: the exact moment money comes in doesn't always match the moment it has to go out.

I paid my coffee supplier every week, in cash. I paid my helper every week too. But the payment app deposited my card sales 15 days later, and the office contract paid me 30 days after the invoice.

That means that, at any given moment, I could have almost 2 million pesos in confirmed, real sales... that didn't exist yet in my account.

I learned to draw a simple calendar: in one column, everything that leaves my pocket and when (supplier, helper, space rental). In another, everything that comes in and when it actually arrives — not when it was sold.

That calendar, more than anything else, is what would have saved me from having to borrow money from my mom.

CHAPTER 5

Receivables: Money That Exists But Isn't There



When I started offering credit to the office that bought coffee from me all week (“pay me at the end of the month”), I felt like I was growing. I had a big, reliable client.

What I didn't factor in was that this money, even though it was 100% sold and confirmed, didn't exist yet in my hands. That's called **accounts receivable**: money that's mine, but that I don't have in hand yet.

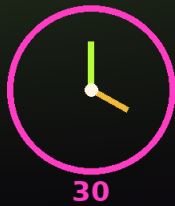
The more big clients asked to pay me “later,” the bigger that phantom pile of money grew — real on paper, invisible in my cash.

I learned to do something simple: keep a list of who owes me, how much, and since when. If someone fell more than a week behind the agreed date, I called them right away, kindly but without hesitation. I understood that collecting on time isn't inconveniencing my client — it's taking care of my business.

I also learned to be more selective about who I extend credit to. One big client who pays late can be more expensive, in cash flow terms, than ten small clients who pay on the spot.

CHAPTER 6

Payables: Playing With Time Without Getting Burned



Just as I had customers who paid me later, I discovered I could also negotiate that with my suppliers. That's called **accounts payable**.

At first I paid my coffee supplier in cash, every week, without ever asking if there was another way. One day I simply asked if I could pay every 15 days instead of every week. He agreed without any issue — we'd worked together for years and he trusted that I always paid.

That small change gave me so much more breathing room: now I had two weeks of sales in cash before having to pay him, instead of just a few days.

I learned that playing with these timelines isn't cheating or owing more than I can pay. It's simply aligning better when my money goes out with when it comes in.

That said, I never stretched a deadline beyond what I had agreed to. A supplier who trusts that you pay on time is one of the most valuable assets a small business has, and it's never worth risking for a few extra days.



CHAPTER 7

The Cash Cushion

After that scare, I decided I would never again run my business right on the edge. I started building what I now call my **cash cushion**.

The idea is simple: set aside, in a separate, untouchable account, the equivalent of at least one full month of my fixed business expenses — supplier, helper, permits, cart maintenance.

That cushion isn't for investing, and it isn't for “taking advantage of an opportunity.” It's exclusively for months when the calendar doesn't line up, like what happened to me, or for a real emergency, like a machine breaking down overnight.

It took me almost six months of setting aside a little each week to build it. But ever since I've had it, I stopped feeling panic every time a client was late paying me.

A business without a cash cushion lives from miracle to miracle. A business with one lives with room to breathe, think, and make better decisions.



CHAPTER 8

Inventory: Cash Disguised as Product

Another thing I discovered, almost by accident, is that inventory is money too — just disguised as product.

Once, taking advantage of a discount, I bought three months' worth of cups, lids, and napkins all at once. It felt like a smart move. But that money ended up sitting in a storage room, turned into boxes, instead of being available in my account for whatever came up.

I learned that every peso I have tied up in excess inventory is a peso I can't use to pay my coffee supplier, or to cover a slow month.

Since then, I calculate how much inventory I really need for the next two or three weeks, not the next three months, unless the discount is truly extraordinary and my cash cushion is already covered.

It's not about buying less just for the sake of it. It's about not turning my available cash into boxes that will only move little by little.



CHAPTER 9

The Trap of Growing Too Fast

When the office contract started going well, I got excited and decided to open a second cart in another area, almost right away.

I bought the machine, hired someone new, paid for the permit on the new spot — all with the cash I had managed to save up over the previous months.

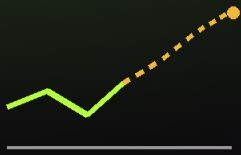
The problem was that this second cart took almost two months to generate steady sales, while the expenses started from day one. My cash cushion, which had taken me so long to build, shrank to almost nothing within a few weeks.

That's when I understood something important: growth consumes cash before it generates it. Every new location, product, or employee costs money immediately, and only starts paying that money back weeks or months later.

Now, before growing, I ask myself a simple question: if this growth takes twice as long as I expect to pay off, can I still cover my bills in the meantime? If the answer is no, it's not the right time yet.

CHAPTER 10

How I Learned to Forecast My Cash Flow



After all of this, I learned to do something that used to sound very complicated to me: forecasting my cash flow.

You don't need anything fancy. Every Sunday, on a simple sheet, I write down how much cash I have today, how much I expect to come in over the next four weeks (and when, not just how much), and how much I know I have to pay, and when.

With those three pieces of information, I can see, week by week, exactly when my cash might run low — before it happens, not after.

The first time I did this forecast, I discovered three weeks in advance that I was going to have a tight moment because of the cart's annual permit fee. Because I saw it coming, I was able to adjust when to buy inventory that week, instead of finding out on the day the payment was due.

Forecasting isn't guessing the future. It's simply not letting the future catch you by surprise.



CHAPTER 11

The Mistakes That Almost Broke Me

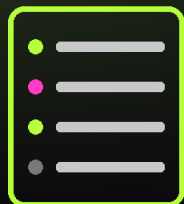
Not everything in my business was handled with this clarity from the start. I made mistakes that almost forced me to close.

The first: mixing business money with my personal money. I'd take cash out of the cart's till for household expenses “just this once,” and lose track of how much actually belonged to the business.

The second: not having a cash cushion during my first year. Any surprise — a late-paying client, a broken machine — turned into an immediate crisis.

The third: measuring my success only by how much I sold, without paying attention to when I actually collected that money. I'd close out “great” months in sales that, in practice, almost left me unable to pay my supplier.

Each of these mistakes cost me sleepless nights. But they were also what forced me to build the system I use today.



CHAPTER 12

My Cash Flow Plan

With everything I learned, I put together a simple plan that I review every week. I'll share it with you exactly as I use it:

Step 1: Separate profit from cash. Check how much of what you “sold” is actually sitting in your account.

Step 2: Draw your payment calendar. Note when money actually goes out and when it actually comes in — not when it's invoiced.

Step 3: Take care of your receivables. Keep track of who owes you, and collect on time without hesitation.

Step 4: Negotiate your payables respectfully, without ever breaking your word to a supplier.

Step 5: Build your cash cushion before thinking about growing or investing in something new.

Step 6: Don't over-buy inventory. Buy for the coming weeks, not “just in case.”

Step 7: Forecast your cash flow every week, even if it's just on a simple sheet.

This plan doesn't eliminate surprises. But it makes sure that, when they come, you have what you need to face them.



CHAPTER 13

A Letter From Mika to You

If you've made it this far, you already know the lesson that cost me a real scare: a business can be selling really well and still run out of money to pay its bills.

I won't lie to you: keeping your cash flow up to date isn't the exciting part of running a business. It doesn't feel like landing a new client or launching a product. Most weeks, it feels like reviewing a spreadsheet on a Sunday afternoon.

But that boring habit is, literally, what separates a business that survives its first year from one that can't make it to the end of the month despite selling well.

I started with a coffee cart and a scare that almost made me close. You can start today, with whatever business you already have, no matter how small.

I'm not asking you to have it all figured out from day one. I didn't either: I mixed accounts, believed that selling a lot was enough, grew too fast. But every stumble taught me something no course had ever explained to me before.

So here's my question for you: do you already know how much real cash you have today, right now, for your business?

Check it. Start your calendar. I'll be right here, with my coffee, keeping the books alongside you.

— *Mika*